

Types of Mortgages

You may think that all mortgages are alike, but they actually come in many shapes and sizes. There are several different terms, fixed-interest rate and variable-interest rate, balloon mortgages, government-backed mortgages, and more. To choose the best one for your personal situation, you should be familiar with at least these basic types.

Mortgage Terms

Most mortgages are for fifteen, twenty, or thirty years with an interest rate that's fixed over the life of the loan. Payments on fifteen- and twenty-year loans are somewhat higher than those on traditional thirty-year loans, so it requires higher income to qualify for the shorter terms. The benefit is that you build equity faster, pay off your mortgage years sooner, and save many tens of thousands of dollars.

To illustrate the difference between a thirty-year and a fifteen-year mortgage, take the example of a mortgage for \$150,000 at 6 percent. The payment on a fifteen-year loan would be \$1,266 per month, and the total interest paid over the life of the loan would be \$77,841. The payment on a thirty-year mortgage for the same amount at the same interest rate would be \$899 per month (a decrease of \$367) and the total interest paid over the life of the loan would be \$173,757 (an increase of \$95,916). Moreover, interest rates on shorter-term mortgages are generally lower than those on longer-term mortgages, so the difference between the two loans in the example would actually be even greater.



Should I choose a shorter or longer mortgage term?